CASCADIA ANALYTICS

INVESTMENT SCORECARD

# SMTC

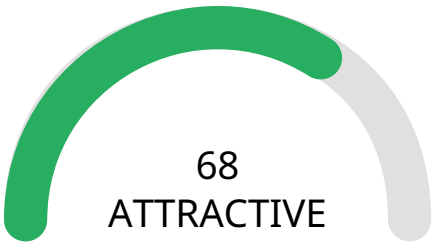
Semtech Corporation (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q2 FY27 (10-Q) | Currency: USD

**$136.73** [Mkt 16-Oct-26]

Market Cap: $12.8B [Mkt 16-Oct-26]

## Attractiveness Score




Confidence: **High** (0 pillars excluded)

## Pillar Breakdown

**1. Operating Quality** — 65

Analog/mixed-signal connectivity with growing data center mix, but a history of GAAP losses (FY25 net loss -$162M) and high beta (2.42). Balance sheet repaired but still levered at 1.5x.

**2. Recent Trend** — 88

Record quarterly revenue, EPS beat ($0.71 vs $0.61), margins expanding, record backlog. Q3 guidance implies a massive sequential step-up. Textbook acceleration.

**3. Forward Growth** — 85

Data center guided +120% YoY in Q3, LoRa Plus in full production, CopperEdge/ACC ramps with hyperscalers. Multiple banks raised targets to $220-300 on the print.

**4. Valuation** — 35

At $136.73 the stock is 111% above our $64.94 DCF base case. NTM P/E 23.3x looks reasonable only if the hypergrowth guidance is fully delivered.

**5. Catalysts & Risk** — 75

Q3 earnings (Nov/Dec) will test the $410M guide. Cellular divestiture closing is a positive. High beta means sharp drawdowns on any guide miss. Positive skew near-term.

## Investment Thesis

- **AI Data Center Inflection:** Record Q2 FY27 revenue of $341.9M (+33% YoY). Q3 guided to $405-415M vs $360M Street, with data center expected +120% YoY. Data center mix heading to 44% of revenue by end of 2027 [8-K Q2 FY27].
- **Portfolio Upgrade:** Selling the lower-margin cellular module business to Compal for $62M cash to focus on AI networking and LoRa/IoT. Balance sheet repaired via $402.5M zero-coupon converts; net leverage 1.5x [8-K Q2 FY27].
- **Priced for Perfection:** At $136.73 [Mkt 16-Oct-26], the stock trades at 2.1x our $64.94 DCF base. The fundamental momentum is real, but the market has already priced in years of flawless execution.

## Key Operating Metrics

| Metric | Latest | YoY Change | 3Y Trend |
|---|---|---|---|
| Revenue (Q2 FY27) | $341.9M [8-K Q2 FY27] | +33.0% [8-K Q2 FY27] | Up |
| Q3 FY27 Revenue Guide | $405-415M [8-K guid] | n/a [n/a] | Up |
| Q3 FY27 EPS Guide | $1.02-1.08 [8-K guid] | n/a [n/a] | Up |
| EPS (Q2 FY27, non-GAAP) | $0.71 [8-K Q2 FY27] | +16% beat [Cons] | Up |
| Data Center Mix (est.) | ~30% [8-K guid] | +120% growth guided [8-K guid] | Up |
| Net Leverage | 1.5x [8-K Q2 FY27] | Improved [8-K Q2 FY27] | Down |
| Revenue (FY25) | $909M [10-K FY25] | +4.7% [10-K FY25] | Up |

## Historical Financial Trend

| Metric | FY22 | FY23 | FY24 | FY25 | TTM |
|---|---|---|---|---|---|
| Revenue | $1.15B [10-K FY22] | $869M [10-K FY23] | $869M [10-K FY24] | $909M [10-K FY25] | $1.05B [Cons] |
| Gross Margin | 62.1% [10-K FY22] | 58.4% [10-K FY23] | 51.2% [10-K FY24] | 55.8% [10-K FY25] | 60.5% [Cons] |
| Op Margin | 18.5% [10-K FY22] | -12.4% [10-K FY23] | -95.2% [10-K FY24] | -8.5% [10-K FY25] | 12.0% [Cons] |

## Valuation

### Absolute (3/10)

NTM P/E 23.3x [Mkt 16-Oct-26]
DCF Base $64.94 vs $136.73 spot [Mkt 16-Oct-26]
PEG 1.21 [Mkt 16-Oct-26]

DCF implies the stock is worth less than half its current price. Absolute valuation is stretched.

### Versus Peers (5/8)

Analog peers ~20-25x NTM P/E [Peers 16-Oct-26]

Multiple is in line with high-growth analog peers, but peers are not priced at 2x DCF base.

### Versus History (4/7)

Trading near all-time highs [Mkt 16-Oct-26]

Well above historical multiple range; the re-rating assumes the AI mix shift is permanent.

## Catalyst Timeline

**Nov/Dec 2026** [Cons]
Q3 FY27 Earnings: $405-415M guide vs $360M Street. A beat confirms the inflection; a miss would be severe.

**H2 2026** [8-K guid]
CopperEdge/ACC volume ramps with hyperscalers.

## Top Risk Factors (Item 1A)

**1. Valuation Risk:** At 2.1x DCF base, any stumble in the hypergrowth narrative implies 30-50% downside to fair value. [DCF model]

**2. Customer Concentration:** Hyperscaler ramps are lumpy; a pushout at any major AI customer hits the quarter. [10-K FY25]

**3. Cyclicality:** Analog semis remain cyclical; the current upcycle will eventually normalize. [10-K FY25]

**2027** [8-K guid]
Data center mix targeted at 44% of revenue by year-end.

## What Would Change Our Score

A Q3 FY27 miss on the $410M revenue guide would cut Forward Growth and Trend sharply. Sustained 100%+ data center growth into 2027 could justify a higher multiple.

## Forward Growth Drivers

- AI data center networking: TIAs, drivers, LPO design wins, CopperEdge/ACC ramps [8-K guid]
- LoRa Plus (LR2022/LR2012) in full production expanding IoT reach [8-K Q2 FY27]
- Cellular module divestiture ($62M) sharpens focus on high-margin segments [8-K Q2 FY27]

## Missing / Modified Data Log

- Segment-level operating margins not disclosed; used consolidated trajectory.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

**Not financial advice. For educational purposes only. Do your own research.**